

Authority for Personal Data
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Dear Ms. Van Gennip,

In a letter dated February 16, 2024, the Authority for Personal Data (AP) was consulted regarding the draft proposal for the amendment of the Act on the Structure of the Implementation Organization for Work and Income in relation to promoting proactive services by the UWV, the SVB, and municipalities (Act on Proactive Services SZW) (hereinafter: the draft) based on the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR).

The AP has objections because it is not established, without further substantiation, that the provisions of the draft regarding proactive services meet the criteria of point 4, legal certainty, of the framework in the annex. These provisions may need to be set aside due to conflict with higher law without further substantiation.

Additionally, the AP has several remarks regarding the clarification of the use of other methods to achieve the goal, the proposed ministerial regulations, the joint registration of opt-outs, and the retention period.

Main Points

- The Employee Insurance Agency (UWV), the Social Insurance Bank (SVB), and municipalities will exchange personal data in the context of proactive services. These authorities are also authorized to further process data for this purpose. The draft, or lower regulations, must specify which (categories of) personal data will be exchanged and further processed. The necessity of these data processing activities must be substantiated in the explanatory memorandum. Alternatively, the explanatory memorandum must substantiate why this exhaustive enumeration is impossible or undesirable.

Minister of Social Affairs and Employment

P.O. Box 90801
2509 LV THE HAGUE

Date

May 14, 2024

Our reference

z2024-0005280

Your letter dated

February 16, 2024

Your reference

2023-0000582763

Subject

Legislative assessment of the draft for the Act on Proactive Services SZW

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- The goal of the draft (to combat the non-use of social provisions) can be partially achieved through other means. These other methods are insufficiently outlined in the explanatory memorandum of the draft, so the explanation on this point must be supplemented.

- Various components of the draft will be elaborated in ministerial regulations. It must be assessed

whether (some of) these components can be established at a higher level.

- No data for proactive services will be processed if the individual does not consent. The joint registration of this by the UWV, the SVB, and municipalities must be included in the legislative text. The responsibilities of these authorities regarding this register must be established.
- It is advisable to include a retention period (possibly in the form of a maximum) in the draft, or in lower regulations, and to substantiate this in the explanatory memorandum. Alternatively, to substantiate that specification is not possible or desirable.

Scope of the Draft

The draft amends the Act on the Structure of the Implementation Organization for Work and Income (Act SUWI) to combat the non-use of social provisions. For this purpose, the UWV, the SVB, and municipalities obtain the authority to investigate potential beneficiaries of a benefit or provision. And to inform, advise, and assist this group in making an application ('proactive services'). The proactive services relate to legislation and provisions designated by ministerial regulation.

The UWV, the SVB, and municipalities will exchange personal data for proactive services. The draft aligns with existing grounds for data processing. Additionally, the draft stipulates that these authorities are authorized to further process data in the administrations under their responsibility to the extent necessary for proactive services. Rules regarding data provision by other authorities and individuals will also be established by ministerial regulation. And rules may be established by ministerial regulation regarding temporary mutual data exchanges between the UWV, the SVB, and municipalities to investigate whether that data is necessary for proactive services.

1 More specifically, the boards of mayor and aldermen.

2 The proposed Article 10b, paragraph 1, and the proposed Article 1, paragraph 1, under s, of the Act SUWI.

3 The proposed Article 10b, paragraph 1, of the Act SUWI.

4 The proposed Article 73b, paragraph 2, introductory text, of the Act SUWI. See also the explanatory memorandum, pp. 7 and 40.

5 The proposed Article 73b, paragraph 1, of the Act SUWI.

6 The proposed Article 73b, paragraph 2, of the Act SUWI. The explanatory memorandum mentions the curator as an example (p. 41).

7 The proposed Article 73b, paragraph 3, of the Act SUWI.

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Data will not be processed for proactive services after the data subject does not consent to this upon request or voluntarily ('opt out').⁸ A joint registration of these preferences may be maintained by the UWV, the SVB, and municipalities.⁹

In addition to rules regarding proactive services, the draft stipulates that the article concerning the System Risk Indication (SyRI) will be removed.¹⁰ Furthermore, the UWV and the SVB must account for their services based on public values.¹¹

Legislative Assessment

Concretizing Data Processing

Legislation regarding interference with the right to protection of personal data must, according to established case law, always be clear and precise, and its application must be predictable for those to whom it applies (legal certainty).¹²

The intended data disclosures between the UWV, the SVB, and municipalities, and the further processing, are based on already existing grounds. Regarding the data exchanges, the draft explicitly

refers to Articles 54, 62, and 73 of the SUWI Act. The wording in these articles, such as "everyone provides all data and information necessary for the execution of tasks to be carried out by the relevant authority under or by virtue of this Act or any other law," is hardly determinative and thus does not meet the principle of legal certainty (point 4 of the framework in the annex).

The AP concludes that the draft, or in lower regulations, must specify which (categories of) personal data the UWV, the SVB, and municipalities exchange and further process. Additionally, the necessity of these data processing activities must be substantiated in the explanatory memorandum. Alternatively, the explanatory memorandum must justify why this exhaustive enumeration is impossible or undesirable.

Other Ways to Achieve Goals

The explanatory memorandum to the draft mentions the following three categories of causes for non-use of income support:¹³

8 The proposed Article 73b, fourth paragraph, of the SUWI Act.

9 Explanatory memorandum, p. 23 and 43. The explanation is not clear whether the joint registration is an obligation or a power.

10 The current Article 65 of the SUWI Act.

11 The draft stipulates that ministerial regulations will be established regarding the annual plan. These regulations will relate at least to the services provided and the extent to which these are based on public values such as service, responsiveness, inclusivity, accessibility, reliability, effectiveness, legality, and efficiency. See the proposed Article 46, second paragraph, and Article 49, fifth paragraph, of the SUWI Act.

12 Recital 41 of the GDPR.

13 Explanatory memorandum, p. 12.

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1. Legislation

According to the explanation, this includes the degree of complexity of the regulation, how concrete the criteria are, and whether a financial threshold exists. A greater degree of non-use occurs when regulations supplement another source of income, when the benefit is minimal, and when there is an incidental benefit provision.

2. Implementation

According to the explanation, this includes a complicated application procedure and forms, the manner in which information about regulations is presented, the extent to which employees of the implementing organization can provide understandable explanations about this, and whether citizens perceive the application as stigmatizing.

3. Citizen

According to the explanation, this includes factors that are not always the fault of individuals, but where improvement of policy, legislation, and implementation can be well aligned, such as: unfamiliarity with the existence of the regulation, insufficient knowledge and/or incorrect interpretation of the conditions, insufficient knowledge and/or skills to navigate an application procedure, and fear of dependency or stigmatization.

The AP concludes from this that the goal of the concept (to combat the non-use of social benefits) can also be partially achieved in other ways, namely by simplifying and improving the relevant regulations, application procedures and forms, and information provision. According to the explanation accompanying the concept, the interdepartmental program Simplification of Income Support for People (VIM) is being established for this purpose.¹⁴

Upon request, the Ministry of Social Affairs and Employment (SZW) provided the following further explanation:

SZW is working on simplification proposals in various projects to combat the non-use of benefits. These are presented annually, bundled in the Simplification Agenda for Social Security, to the House of Representatives. SZW is also collaborating with other departments, through the VIM program, on cross-domain proposals for simplification, such as harmonization of concepts.¹⁵

In addition, simplifying and improving application procedures and forms, as well as information provision, is an ongoing point of focus. The VIM program is engaged in simplification projects of application procedures that are related to the design of a regulation and are complex because a lot of (detailed) information from the applicant is required for implementation. The design and organization of application procedures, forms, letters, etc., that are separate from regulations, is primarily a matter for the public service providers themselves. They work with standardized

14 Explanatory Memorandum, p. 30.

15 The Ministry of SZW has noted that adjusting the SUWI Act and related legislation in social security is among the possibilities from the Simplification Agenda for Social Security, but at this moment, the proposals and initiatives are not at a stage where an adjustment of the SUWI Act can be expected in the short term.

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instruments such as customer surveys, feedback mechanisms, learning from complaints, and evaluations. But also with initiatives such as customized workplaces and teams (often with behavioral experts) that focus on capability. The attention to this within the central government is primarily within the Program Work on Implementation, in the pillar Future-proof Service Delivery.¹⁶

The AP concludes that insufficient information has been included in the explanation that these other methods are also being used to achieve the goal, so the explanation on this point needs to be supplemented.

Ministerial Regulations

Various components of the draft will be elaborated in ministerial regulations. According to the explanation accompanying the draft, this choice was made to retain the necessary flexibility. Given the current number of initiatives surrounding proactive service delivery, the expectation is that a relatively large number of forms of proactive service delivery will be designated and elaborated, and that periodic changes will need to take place. The relatively short turnaround time for amending a ministerial regulation provides a guarantee that developments in society and implementation can be responded to with sufficient speed and flexibility, according to the explanation.¹⁷

The Guidelines for Legislation stipulate that, in the case of delegation, a general administrative measure is preferred. Delegation to a minister should be limited to provisions of an administrative nature, elaboration of the details of a regulation, provisions that often require amendment, and provisions that are expected to need to be established with great urgency.¹⁸

Regarding flexibility, it follows that provisions that are more structural in nature should be established at a higher level than a ministerial regulation. This includes, for example, designating laws and regulations and provisions for which proactive service delivery will 'always' take place, and rules regarding data provision by 'fixed' other authorities and individuals.

The AP concludes that it must be assessed whether components of the draft for which elaboration in ministerial regulations is proposed can be established at a higher level.

Joint Registration of Opt-Outs

The explanation accompanying the draft is not clear whether the joint registration of opt-outs is an

obligation or a power. On the one hand, the explanation states that the UWV, the SVB, and municipalities are responsible for joint registration.¹⁹ On the other hand, the explanation states that maintaining a joint register is among the possibilities.²⁰ The draft does not contain any provisions regarding this. From the perspective of legal certainty, the AP considers an obligation to be the most appropriate.

¹⁶ Emails of March 27, 2024, and April 4, 2024.

¹⁷ Explanatory Memorandum, p. 38.

¹⁸ Guideline 2.24 of the Guidelines for Legislation.

¹⁹ Explanatory Memorandum, p. 43.

²⁰ Explanatory Memorandum, p. 23.

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From the explanation, it appears that the UWV, the SVB, and the municipalities are joint controllers for the register. Their respective responsibilities for compliance with the obligations under the GDPR, particularly regarding the exercise of the rights of the data subject and their obligation to provide information, must then be established by national provisions or mutual arrangements.

The AP concludes that the obligation (or possibly the authority) for joint registration of opt-outs must be included in the legislative text. Furthermore, the respective responsibilities of the UWV, the SVB, and municipalities regarding this register must be documented.

Retention Period

The proposed legislation stipulates that retention periods will be established by ministerial regulation concerning data disclosures to the UWV, the SVB, and municipalities by other entities and individuals. And regarding the temporary mutual data disclosures between the UWV, the SVB, and municipalities to investigate whether that data is necessary for proactive service delivery.

No retention period is established or will be established for other data processing for proactive service delivery.

The GDPR states that personal data may not be retained longer than necessary for the purposes for which the personal data are processed. A general norm such as this means that it must be specified for specific data processing activities. The AP considers it, from the perspective of legal certainty, generally desirable for the legislator to determine the retention period when making assessments in individual cases is not appropriate and a logical retention period does not unmistakably arise from the context.

There is no evidence that it is necessary to retain personal data longer for proactive service delivery after that service has been provided. Therefore, the personal data must be deleted after that service delivery. If the UWV, the SVB, or municipalities process the data based on other legal tasks, different retention periods may apply.

²¹ As referred to in Articles 13 and 14 of the GDPR.

²² Article 26 of the GDPR.

²³ The proposed Article 73b, second paragraph, under b, of the SUWI Act.

²⁴ The proposed Article 73b, third paragraph, under b, of the SUWI Act.

²⁵ Article 5, first paragraph, under e, of the GDPR.

²⁶ See, for example, the AP's advice on the draft decision to amend the Allocation of Labor by Intermediaries Decree in connection with the introduction of a licensing requirement for the provision of labor, March 26, 2024, z2024-000192 (Advice on the amendment of the Allocation of Labor by Intermediaries Decree | Data Protection Authority), the draft for the Act on the Centralization of Support for Sick Students, October 11, 2022, z2022-03222 (Advice on the Act on the Centralization of

Support for Sick Students | Data Protection Authority), and on the draft for the Supplement to the Act on Children, Surrogacy, and Parentage, July 4, 2022, z2022-03252 (Advice on the Supplement to the Act on Children, Surrogacy, and Parentage | Data Protection Authority).

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The AP concludes that it is advisable to include a retention period (possibly in the form of a maximum) concerning the other data processing for proactive service delivery in the draft or in lower regulations, and to substantiate this in the explanation. Or to substantiate that specification is not possible or desirable.

Workload AP

It is likely that the draft will require the AP to make limited additional efforts. This effort has not yet been accounted for in the financing of the AP. This will need to be addressed in consultation with the Minister for Legal Protection—who is responsible for the budget from which the AP is financed—prior to the entry into force. For this reason, a copy of this legislative assessment is sent to the Minister for Legal Protection.

Disclosure

This legislative assessment will be published on the AP's website within two weeks.

Yours sincerely,

Data Protection Authority,

Aleid Wolfsen

Chairman

Date

May 14, 2024

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- Annex

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Assessment Framework AP

The AP examines whether the draft regarding the processing of personal data is in accordance with the Charter of Fundamental Rights of the European Union (EU), the GDPR (Regulation 2016/679), or the Police and Justice Directive (Directive 2016/680), the general legal principles of the EU, and other relevant law, whereby it must be sufficiently demonstrated that the principle of proportionality is met, by:

1. the draft being suitable for achieving the pursued objective of general interest or the protection of the rights and freedoms of others (suitability);
2. the objective cannot reasonably be achieved as effectively by other means that are less intrusive to the fundamental rights of the data subjects (subsidiarity);
3. the interference is not disproportionate to that objective, which particularly implies a weighing of the importance of the objective and the severity of the interference (proportionality);
4. the draft is sufficiently clear and precise regarding the scope and is predictable in application (legal certainty);
5. the draft sufficiently indicates under what circumstances and conditions personal data may be processed, thereby ensuring that the interference is limited to what is strictly necessary (substantive

and procedural safeguards); and

6. the draft is binding under national law (bindingness under national law).

The AP pays particular attention to the rights of data subjects and the compliance of the draft with Article 6, paragraphs 1 and 3, and Article 9 of the GDPR (Regulation 2016/679), or Articles 8 and 10 of the Police and Justice Directive (Directive 2016/680), and with the principles established in Article 5 of the GDPR or Article 4 of the Directive. This implies, among other things, that:

(a) processing must be lawful, fair, and transparent with respect to the data subject;

(b) personal data may only be collected for specified, explicitly defined, and legitimate purposes; and

(c) processing must be adequate, relevant, and limited to what is necessary for the purposes.

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